

ASSEMBLY BILL

No. 351

Introduced by Assembly Member McKinnor

January 30, 2025

An act to amend Section 84308 of the Government Code, relating to the Political Reform Act of 1974.

LEGISLATIVE COUNSEL’S DIGEST

AB 351, as introduced, McKinnor. Campaign contributions: agency officers.

The Political Reform Act of 1974 prohibits an officer of an agency from accepting, soliciting, or directing a contribution of more than \$500 from any party, participant, or a party or participant’s agent, while a proceeding involving a license, permit, or other entitlement for use is pending before the agency and for 12 months following the date a final decision is rendered in the proceeding, if the officer knows or has reason to know that the participant has a financial interest, as defined. The act also prohibits an officer of an agency from making, participating in making, or in any way attempting to use the officer’s official position to influence the decision in a proceeding involving a license, permit, or other entitlement for use pending before the agency if the officer has willfully or knowingly received a contribution of more than \$500 within the preceding 12 months from a party or a party’s agent, or from any participant or a participant’s agent, if the officer knows or has reason to know that the participant has a financial interest in the decision, as defined.

This bill would increase the contribution thresholds described above from \$500 to \$1500. The bill would require the commission to adjust these contribution thresholds to reflect any increase or decrease in the

Consumer Price Index beginning January, 2027, and in January of each odd-numbered year thereafter, as specified.

The Political Reform Act of 1974, an initiative measure, provides that the Legislature may amend the act to further the act's purposes upon a $\frac{2}{3}$ vote of each house of the Legislature and compliance with specified procedural requirements.

This bill would declare that it furthers the purposes of the act.

Vote: $\frac{2}{3}$. Appropriation: no. Fiscal committee: yes.

State-mandated local program: no.

The people of the State of California do enact as follows:

1 SECTION 1. Section 84308 of the Government Code is
2 amended to read:

3 84308. (a) The definitions set forth in this subdivision shall
4 govern the interpretation of this section.

5 (1) "Party" means any person who files an application for, or
6 is the subject of, a proceeding involving a license, permit, or other
7 entitlement for use.

8 (2) "Participant" means any person who is not a party but who
9 actively supports or opposes a particular decision in a proceeding
10 involving a license, permit, or other entitlement for use and who
11 has a financial interest in the decision, as described in Article 1
12 (commencing with Section 87100) of Chapter 7. A person actively
13 supports or opposes a particular decision in a proceeding if that
14 person lobbies in person the officers or employees of the agency,
15 testifies in person before the agency, or otherwise acts to influence
16 officers of the agency. A person is not a "participant" under this
17 paragraph if their financial interest in the decision results solely
18 from an increase or decrease in membership dues.

19 (3) "Agency" means an agency as defined in Section 82003
20 except that it does not include the courts or any agency in the
21 judicial branch of government, the Legislature, the Board of
22 Equalization, or constitutional officers. However, this section
23 applies to any person who is a member of an exempted agency but
24 is acting as a voting member of another agency.

25 (4) "Officer" means any elected or appointed officer of an
26 agency, any alternate to an elected or appointed officer of an
27 agency, and any candidate for elective office in an agency, other
28 than a city attorney or county counsel providing legal advice to

1 the agency who does not have the authority to make a final decision
2 in the proceeding.

3 (5) (A) Except as provided in subparagraph (B), “license,
4 permit, or other entitlement for use” means all business,
5 professional, trade, and land use licenses and permits and all other
6 entitlements for use, including all entitlements for land use, all
7 contracts, and all franchises.

8 (B) “License, permit, or other entitlement for use” does not
9 include any of the following:

10 (i) Competitively bid contracts that are required by law, agency
11 policy, or agency rule to be awarded pursuant to a competitive
12 process.

13 (ii) Labor contracts.

14 (iii) Personal employment contracts.

15 (iv) Contracts valued under fifty thousand dollars (\$50,000).

16 (v) Contracts where no party receives financial compensation.

17 (vi) Contracts between two or more agencies.

18 (vii) The periodic review or renewal of development agreements
19 unless there is a material modification or amendment proposed to
20 the agreement. Non-material modifications or amendments may
21 be approved by agency staff.

22 (viii) The periodic review or renewal of competitively bid
23 contracts unless there are material modifications or amendments
24 proposed to the agreement that are valued at more than 10 percent
25 of the value of the contract or fifty thousand dollars (\$50,000),
26 whichever is less. Non-material modifications or amendments may
27 be approved by agency staff.

28 (ix) Modification of or amendments to contracts that are exempt
29 under this subparagraph, other than competitively bid contracts.

30 (6) “Contribution” includes contributions to candidates and
31 committees in federal, state, or local elections.

32 (7) “Pending” in a proceeding involving a license, permit, or
33 other entitlement for use means either of the following:

34 (A) For an officer, when either of the following occurs:

35 (i) An item involving the license, permit, or other entitlement
36 for use is placed on the agenda for discussion or decision at a public
37 meeting of the body of which the officer is a member.

38 (ii) The officer knows a proceeding involving a license, permit,
39 or other entitlement for use is within the jurisdiction of the officer’s
40 agency for its decision or other action, and it is reasonably

1 foreseeable that the decision will come before the officer in the
2 officer's decisionmaking capacity.

3 (B) For a party or party's agent, or a participant or participant's
4 agent, when an application is filed with an agency, or, if the
5 proceeding process does not require an application, when the
6 proceeding is before the agency for its decision or other action.

7 (b) (1) While a proceeding involving a license, permit, or other
8 entitlement for use is pending, and for 12 months following the
9 date a final decision is rendered in the proceeding, an officer of
10 an agency shall not accept, solicit, or direct a contribution of more
11 than ~~five hundred dollars (\$500)~~ *one thousand five hundred dollars*
12 *(\$1,500)* from any party or a party's agent, or from any participant
13 or a participant's agent if the officer knows or has reason to know
14 that the participant has a financial interest, as that term is used in
15 Article 1 (commencing with Section 87100) of Chapter 7. This
16 prohibition applies regardless of whether the officer accepts,
17 solicits, or directs the contribution on the officer's own behalf, or
18 on behalf of any other officer, or on behalf of any candidate for
19 office or on behalf of any committee.

20 (2) With respect to elected officers, paragraph (1) applies only
21 if the elected officer or the body of which they are a member has
22 the authority to make any decision or recommendation in the
23 proceeding.

24 (c) (1) Before rendering any decision in a proceeding involving
25 a license, permit, or other entitlement for use, each officer of the
26 agency who received a contribution within the preceding 12 months
27 in an amount of more than ~~five hundred dollars (\$500)~~ *one*
28 *thousand five hundred dollars (\$1,500)* from a party or from any
29 participant shall disclose that fact on the record of the proceeding.
30 An officer of an agency shall not make, participate in making, or
31 in any way attempt to use the officer's official position to influence
32 the decision in a proceeding involving a license, permit, or other
33 entitlement for use if the officer has willfully or knowingly received
34 a contribution in an amount of more than ~~five hundred dollars~~
35 ~~(\$500)~~ *one thousand five hundred dollars (\$1,500)* within the
36 preceding 12 months from a party or a party's agent, or from any
37 participant or a participant's agent if the officer knows or has
38 reason to know that the participant has a financial interest in the
39 decision, as that term is described with respect to public officials
40 in Article 1 (commencing with Section 87100) of Chapter 7.

(2) With respect to elected officers, paragraph (1) applies only if the elected officer or the body of which they are a member has the authority to make any decision or recommendation in the proceeding.

(d) (1) If an officer receives a contribution that would otherwise require disqualification under this section, and returns the contribution within 30 days from the time the officer makes any decision, or knows, or should have known, about the contribution and the proceeding involving a license, permit, or other entitlement for use, whichever comes last, the officer shall be permitted to participate in the proceeding.

(2) (A) Subject to subparagraph (B), if an officer accepts, solicits, or directs a contribution of more than ~~five hundred dollars (\$500)~~ *one thousand five hundred dollars (\$1,500)* during the 12 months after the date the final decision is rendered in violation of subdivision (b), the officer may cure the violation by returning the contribution, or the portion of the contribution in excess of ~~five hundred dollars (\$500)~~, *one thousand five hundred dollars (\$1,500)*, within 30 days of accepting, soliciting, or directing the contribution, whichever comes latest.

(B) An officer may cure a violation as specified in subparagraph (A) only if the officer did not knowingly and willfully accept, solicit, or direct the prohibited contribution.

(C) An officer's controlled committee, or the officer if no controlled committee exists, shall maintain records of curing any violation pursuant to this paragraph.

(e) (1) A party to a proceeding before an agency involving a license, permit, or other entitlement for use shall disclose on the record of the proceeding any contribution in an amount of more than ~~five hundred dollars (\$500)~~ *one thousand five hundred dollars (\$1,500)* made within the preceding 12 months before the date that any decision is rendered by the agency by the party or the party's agent.

(2) A party to a proceeding involving a license, permit, or other entitlement for use pending before any agency or a participant in the proceeding shall not make a contribution of more than ~~five hundred dollars (\$500)~~ *one thousand five hundred dollars (\$1,500)* to any officer of that agency during the proceeding and for 12 months following the date the final decision is rendered by the agency in the proceeding.

1 (3) An agent to a party or participant shall not make a
2 contribution in any amount to an officer during the time periods
3 described in paragraph (2).

4 (4) When a closed corporation is a party to, or a participant in,
5 a proceeding involving a license, permit, or other entitlement for
6 use pending before an agency, the majority shareholder is subject
7 to the disclosure and prohibition requirements specified in this
8 section.

9 (f) This section shall not be construed to imply that any
10 contribution subject to being reported under this title shall not be
11 so reported.

12 (g) For the purposes of this section, in determining whether a
13 contribution has exceeded ~~five hundred dollars (\$500)~~, *one*
14 *thousand five hundred dollars (\$1,500)*, the contributions of an
15 agent shall not be aggregated with contributions from a party or
16 participant.

17 (h) *Beginning on January, 2027, and in January of every*
18 *odd-numbered year thereafter, the commission shall adjust the*
19 *contribution limitations in this section to reflect any increase or*
20 *decrease in the Consumer Price Index, rounded to the nearest ten*
21 *dollars (\$10).*

22 ~~(h)~~

23 (i) (1) A person is the “agent” of a party to, or a participant in,
24 a pending proceeding involving a license, permit, or other
25 entitlement for use only if the person represents that party or
26 participant for compensation and appears before or otherwise
27 communicates with an agency for the purpose of influencing the
28 proceeding on behalf of a party or participant.

29 (2) If an individual acting as an agent is also acting as an
30 employee or member of a law, architectural, engineering, or
31 consulting firm, or a similar entity or corporation, both the entity
32 or corporation and the individual are “agents.”

33 (3) “Agent” includes a lobbyist registered to lobby the agency
34 and who otherwise meets the requirements of paragraph (1).

35 (4) “Communicate with the agency for the purpose of
36 influencing the proceeding” does not include either of the
37 following:

38 (A) Preparing drawings or submissions of an architectural,
39 engineering, or similar nature for a client to submit in a proceeding
40 before the agency if both of the following conditions are met:

1 (i) The work is performed pursuant to the person's profession.

2 (ii) The person does not make any contact with the agency other
3 than contact with agency staff concerning the process or evaluation
4 of the documents prepared by the person.

5 (B) Providing technical data or analysis to an agency if the
6 person does not otherwise engage in direct communication for the
7 purpose of influencing the proceeding.

8 ~~(i)~~

9 (j) (1) Except as provided in paragraph (2), the provisions of
10 this act are severable. If any provision of this act or its application
11 is held invalid, that invalidity shall not affect other provisions or
12 applications that can be given effect without the invalid provision
13 or application.

14 (2) Subdivision (g) is not severable from paragraph (3) of
15 subdivision (e) if paragraph (3) of subdivision (e) is held invalid
16 in a final decision of a court of competent jurisdiction. If that
17 occurs, subdivision (g) shall become inoperative on the date of
18 that final decision.

19 SEC. 2. The Legislature finds and declares that this bill furthers
20 the purposes of the Political Reform Act of 1974 within the
21 meaning of subdivision (a) of Section 81012 of the Government
22 Code.